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TECH

Smartphone Parts Boost Broadcom's Earnings

Chip maker has been trying to rally investor support for $105 billion takeover of Qualcomm

By Imani Moise and Ted Greenwald
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Broadcom's bid to take over Qualcomm turned hostile this week. MIKE BLAKE/REUTERS

Broadcom Ltd. AVGO **-0.74%** ▼ reported higher-than-expected earnings in the most recent quarter as the chip maker looks to convince Qualcomm Inc.'s QCOM **-0.36%** ▼ shareholders to back its $105 billion takeover bid.

In a conference call with analysts, Broadcom offered little about the hostile bid aside from saying it aims to "engage in a constructive dialogue," has received positive shareholder and customer reactions, and believes it can complete a transaction, including regulatory approvals, within 12 months of striking a deal.

The company said it wouldn't answer questions about the bid or its planned move from Singapore to the U.S.

Broadcom's profit was boosted by sales of smartphone parts to "a large North American smartphone customer," presumably Apple Inc., which offset weakness in its core wired-infrastructure business. Chief Executive Hock Tan said he expected wireless growth to continue into the current quarter as that customer's new products had been "pushed out" compared with prior years. The iPhone X preorders began in October, while the iPhone 8 launched in September.

Sales in Broadcom's wireless-communications unit, which brings in more than a third of revenue, grew 33%, while sales in wired infrastructure, which account for 45% of sales, edged up 3%.

Broadcom also provided an upbeat outlook in its current quarter, forecasting revenue between $5.22 billion and $5.37 billion. The forecast includes sales from its recent acquisition of Brocade Communications Systems Inc. Analysts polled by Thomson Reuters had forecast $4.83 billion in sales.

Broadcom's takeover bid for Qualcomm turned hostile earlier this week when Broadcom nominated candidates to overhaul its target's board of directors after Qualcomm rejected its unsolicited offer. Broadcom has been working to convince investors that its offer of $70 a share provides the most value to shareholders.

Qualcomm said Broadcom's proposal undervalued it, touting its leadership in innovative markets such as next-generation cellular technologies, and comes with substantial risk of regulatory interference.

In the fourth quarter, Broadcom swung to a profit of $636 million, or $1.50 a share, compared with a loss of $632 million, or $1.59 per share, a year earlier. On an adjusted basis, earnings grew to $4.59 per share from $3.47 a year ago.

Revenue jumped 8.5% to $4.84 billion.

Analysts had projected adjusted earnings of $4.52 a share on $4.83 billion in revenue.

Broadcom also said Wednesday it would raise its quarterly dividend to $1.75 a share from $1.02 a share.

Shares rose 4.2% to $274.92 after hours, adding to the 0.9% gain logged during Wednesday trading.

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